ELEPHAS INVESTMENT

Elephas Alphas Fund

2025 Q1 Investment Letter

Performance

Elephas*	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
2025	**0.19**	**12.45**	**13.88**										**28.30**	**67.83**
2024								-3.38	40.27	-4.03	1.18	0.59	30.83	30.83
MSCI China All	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
2025	**-0.32**	**8.07**	**1.39**										**9.22**	**21.91**
2024								-2.62	23.19	-5.27	-3.23	1.50	11.62	11.62

** Class A net return, since inception July 16th 2024*

The Fund posted a 28.3% return for the quarter, bringing its cumulative return since inception to 67.83%. This compares favorably to the MSCI China All Index, which returned 21.9% over the same period.

2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
Fundamental	0.15	13.82	10.65										26.23	47.34
Systematic	0.04	-1.16	3.23										2.07	20.49
2024	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
Fundamental								-2.17	20.91	-4.43	0.87	-1.10	12.78	12.78
Systematic								-1.21	19.36	0.40	0.31	0.51	18.05	18.05

Portfolio Review

We are pleased to report a positive performance for the quarter, with both the Fundamental Book (+26.2%) and the Systematic Book (+2.1%) contributing to overall returns. Systematic hedges, particularly those implemented in March, also enhanced returns in the quarter.

A key contributor to performance this quarter was our long-standing exposure to Chinese biotechnology, a thematic allocation held since inception. These positions contributed approximately 10% to NAV growth, with **Kelun Biotech** a notable outperformer. Its share price rose 78% during the period, as the market began to reprice the US commercial potential of its TROP-2 ADC asset, sold to Merck in 2021, following multiple FDA approvals for Phase 3 lung cancer trials. In our view, this revaluation reflects growing recognition of the quality of innovation emerging from leading Chinese biotech firms.

We also initiated several short positions in US semiconductor and AI infrastructure names following the release of DeepSeek's open-source model—a piece of engineering that, rather inconveniently for some, achieves comparable performance to its Western peers while consuming only a fraction of the computational horsepower. The market has begun to internalize the broader implications: hyperscalers such as Microsoft and Amazon are pulling back from capital-intensive datacenter expansion, recognizing that future AI capabilities

may not require the same scale of proprietary infrastructure spending. This shift in sentiment contributed meaningfully to our returns. As we noted previously, DeepSeek may represent the most consequential event in AI since the launch of ChatGPT—not only disrupting competitive assumptions but also challenging the macroeconomic narratives that have driven extreme concentration in US equity and dominance of the US dollar.

Market Outlook

In January, we initiated a meaningful position in **Pop Mart (9992.HK)**, a vertically integrated Chinese consumer company that is fast becoming a cultural export powerhouse. Pop Mart designs, incubates, and retails collectible art toys based on proprietary IP, with characters enjoying cult-like followings across Asia and, increasingly, the West. Our investment reflects a broader conviction: for the first time, China is not just exporting goods, but culture—and Pop Mart offers one of the most commercially scalable expressions of this shift.

We are witnessing a pleasing inversion of the old playbook. Where once Chinese tourists queued patiently outside Louis Vuitton and Hermès in Paris, today it is Thai and Vietnamese tourists forming orderly lines outside Pop Mart's flagship in Beijing, eager to return home with collectible figures celebrating Chinese design and aesthetics. These queues are not mere curiosities—they represent a transfer of soft power, and Pop Mart is at the vanguard. The company's latest results tell the story: overall sales rose 165%, with domestic China growing at 100%, the US business expanding ninefold, and Europe sixfold, year-on-year.

While geopolitical tensions and tariff threats continue to dominate headlines, we believe the Chinese biotech out-licensing model remains a relative oasis of calm. Cross-border IP licensing falls under services trade, an area where the US runs a structural surplus—and one Washington would be reluctant to jeopardize. Even in the unlikely event of direct intervention, we expect existing agreements to be grandfathered, mitigating any material disruption. Moreover, when dealing with life-saving oncology therapies, even the most enthusiastic protectionist tends to tread carefully.

Although we do not position ourselves as biotechnology specialists, we regard the Chinese biotech sector as one of the most compelling and underappreciated growth opportunities within the broader China equity universe. It remains one of the few sectors where Chinese firms enjoy unfettered access to the US market, premium pricing power, and relatively benign political risk. These companies continue to leverage China's efficient clinical trial infrastructure and cost-effective R&D capabilities. Unlike electric vehicles and solar panels—industries where Chinese competitiveness now invites near-automatic protectionism— oncology drugs remain refreshingly open.

The global PD-(L)1 oncology market is projected to exceed $60 billion in peak annual sales, positioning it as the second-largest pharmaceutical segment after GLP-1-based obesity treatments with $110 billion in projected peak sales. The latter, dominated by Eli Lilly and Novo Nordisk, has propelled these companies to a

combined market capitalization exceeding $1 trillion. **Akeso**'s ivonescimab—a PD-1/VEGF bispecific antibody—has demonstrated superior progression-free survival compared to Merck's Keytruda in two separate Phase 3 trial targeting patients with non-small cell lung cancer (NSCLC). This positions ivonescimab as a potential new standard of care and Goldman has recently assigned a peak sales estimate of $50 billion to this drug. Akeso, through its licensing agreement with Summit Therapeutics, is entitled to roughly one-third of the ex-China economics. If actual sales approach even a fraction of this figure, Akeso's current market capitalization—still under $10 billion—appears significantly disconnected from the scale of its commercial opportunity. While our holdings in this sector have rewarded us to date, we see ample runway ahead and continue to maintain our exposure.

We used the market dislocation in early April as an opportunity to substantially increase our exposure to Chinese equities. Our positioning reflects the expectation of a more constructive resolution to recent US-China trade tensions. In our view, the proposed 145% tariff is unlikely to be fully implemented; recent developments suggest that China's response has effectively called Trump's bluff, increasing the likelihood that the rhetoric de-escalates as domestic political and financial market considerations take precedence in the US.

As always, we greatly appreciate your continued trust and support.

Yiwen Li

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